EXHIBIT A

PORTLAND PUBLIC SCHOOLS
FINANCE ADMINISTRATION

501 North Dixon Street | Portland, OR 97227
(503) 916-2000 | pps.net

February 10, 2026

Oregon Secretary of State, Audits Division
255 Capitol St. NE, Suite #500
Salem, OR 97310

Plan of Action for School District No. 1J, Multnomah County, Oregon (Portland Public Schools)

Portland Public Schools respectfully submits the following corrective action plan in response to Financial Statement Findings reported in our audit of fiscal year ended June 30, 2025. The audit was completed by the independent auditing firm Talbot, Korvola & Warwick, LLP and reported the deficiencies listed below.

The plan of action was adopted by the governing body at their meeting on February 10, 2026, as indicated by signatures below.

The deficiency is listed below, including the adopted plan of action and timeframe.

1. Deficiency #1 – Federal Program Finding 2025-001
    a. Significant Deficiency

    Under 2 CFR 200.510(b), the District is required to prepare a Schedule of Expenditures of Federal Awards (SEFA) for the period covered by the auditee's financial statements that includes the total federal awards expended as determined in accordance with 2 CFR 200.502. Additionally, the District has the responsibility for establishing and maintaining effective internal control over financial reporting and compliance.

    A significant deficiency in internal controls over financial reporting was related to the District's preparation of the SEFA and the recording of grant-related balances. During our audit procedures, it was noted the SEFA misstated expenditures for various federal programs prior to being corrected. Additionally, the District had recorded unavailable revenue as federal grant revenue in the Capital Projects Fund and misclassified revenue between various federal and state grants in the Special Revenue Fund.

    The cause appears to be related to staff turnover.

    Effect or potential effect: The Schedule of Federal Awards misstated federal expenditures for various federal programs prior to being corrected. These adjustments impacted revenue in the Capital Projects Fund and the Special Revenue Fund. Additionally, there were misstatements of revenue related to state funds found during other audit procedures unrelated to the Schedule of Federal Awards.

    Recommendation: Management should implement compensating controls over grant revenues, grant receivables, and unavailable grant revenue. Additionally, management

should implement compensating controls over the preparation of the schedule of federal expenditures.

b. The Chief Financial Officer will ensure that there is at least a two-tier transactional review by managers to ensure that grant revenues, receivables, and unavailable grant revenue are correctly documented.

c. Date of implementation - effective immediately, January 30, 2026.

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Edward Wang, Board Chair	Dr. Kimberlee Armstrong, Superintendent